Built for light, waiting on power

Applied Optoelectronics, a Sugar Land maker of data center optics, says its 2027 expansion plan in the United States will take longer. It cites a longer than expected wait for electrical power, among other construction issues. The bay is drawn to illustrate.



It makes optics for AI data centers

The company makes optical transceivers for internet and AI data centers. Its chief executive says the company believes demand for AI-related optical technologies is accelerating. The module is drawn to illustrate.



Laser chips, made only in Sugar Land

The quarterly report puts the laser design team there too. The company also leases about 209,665 square feet on Gillingham Lane in Sugar Land, used mainly for manufacturing. The plant is drawn to its stated floor area, not its shape.



The largest of the four is not built yet

The company has leased two Houston buildings on Chimney Rock Road that are still to be built. Each property is drawn as a square of its stated floor area. It will also lease three other Houston buildings.



Sugar Land
leased
209,665 sq ft



Pearland
owned
388,133 sq ft



Chimney Rock
to be built
356,186 sq ft



Chimney Rock
to be built
737,621 sq ft

Half the floor by year end

The company expects equipment for over 500,000 pieces of 800G and 1.6 Tb products a month by the end of 2026, and capacity for over 1 million by the end of 2027. Each pad is one equal share.



One stake for each month to completion

The company entered into leases for the two Chimney Rock Road buildings on August 31st. The quarterly report anticipates substantial completion about 16 months later. The site is drawn to illustrate.



The wait, in its own words

"We expect our 2027 capacity expansion plan in the US to take longer to complete due to longer than expected time to obtain necessary electrical power among other construction related issues."

The chief financial officer, in the November 5th results release. The transformer is drawn to illustrate and stands for no named site or utility.



A hyperscale customer the release doesn't name

The chief executive says the company recently secured a multi-year strategic agreement with a Tier 1 hyperscale data center customer. The hall is drawn to illustrate.



A 2027 target, a wait for power

The same November 5th release expects capacity for over 1 million pieces of 800G and 1.6 Tb transceivers a month by the end of 2027. It says obtaining electrical power is taking longer than expected. It doesn't say how much of that capacity is in the United States.